

investor buying a bank or insurance stock seemed to have a hard core of value to fall back on that did not exist for this new kind of service company being introduced to the financial public. However, investigation of the A. C. Nielsen situation revealed unusually good fundamentals. There was an honest and capable management, a uniquely strong competitive position and good prospects for many years of further growth. Nevertheless, until experience showed how the financial community would react to its first exposure to this kind of an industry, there did appear to be some reason for hesitation in buying. Would it take years for a realistic appraisal of the investment worth of such a company to displace the fear that might be engendered by the lack of some of the familiar yardsticks of value? It may seem ridiculous today, when for many years a company like A. C. Nielsen has enjoyed a price-earnings ratio signifying a very high investment appraisal, but some of us who decided to take a chance on the fundamentals being recognized and bought these shares at that time experienced a sensation almost like stepping off a cliff and seeing if the air would support us, so new was the concept of a service company in contrast to concepts to which we were accustomed. Actually within a few years the pendulum swung quite the other way. As A. C. Nielsen's profits grew and grew, a new concept arose in Wall Street. A large number of companies, many quite different in economic fundamentals but all dealing in services rather than products, were lumped together in a financial-community image as parts of a highly attractive service industry. Some began selling at higher price-earnings ratios than they might have deserved. As always, in time, fundamentals dominated, and this false image formed by lumping quite different companies into one group faded away.

This point cannot be overstressed: *The conservative investor must be aware of the nature of the current financial-community appraisal of any industry in which he is interested.* He should constantly be probing to see whether that appraisal is significantly more or less favorable than the fundamentals warrant. Only by judging properly on this point can he be reasonably sure about one of the three variables that will govern the long-term trend of market price of stocks of that industry.